

Market Thesis Memo - Broker-First SMB Lending

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Overview

SMB lending has resisted aggregation for decades because origination is hyper-local, trust-based, and runs through brokers. That structural reality hasn't changed. What has changed is that agentic AI can now collapse the underwriting workflow from days to minutes, making it possible to build a product that brokers rely on for every deal. Daily reliance creates behavioral lock-in, because the routing history and lender relationships a broker builds inside the platform don't transfer when they leave. That history generates decision data. Decision data, accumulated across thousands of loans and dozens of lender types, becomes a credit intelligence asset that no competitor can replicate without starting over. This is the Salesforce dynamic applied to SMB lending.

That position has not yet been claimed at scale. Kaaj, a seed-stage company that raised \$3.8M in November 2025, is the most compelling early proof of concept for this thesis. This is not a recommendation that Primary Labs invest in Kaaj directly, it is a recommendation that Primary Labs treat this as a category worth incubating.

Kaaj was founded in 2024 by Utsav Shah (formerly Uber, Cruise) and Shivi Sharma (formerly American Express, Varo Bank). In less than two years, it has processed over \$5 billion in loan applications and established early traction with independent lenders and brokers. The company demonstrates that independent lenders and brokers will adopt AI workflow tools, and that the market is earlier than most observers think. Whether Primary Labs backs Kaaj at its Series A, incubates a competing company, or builds this as a Primary Labs original, the window to establish a position in this category is open now and will not stay open indefinitely.

The conventional framing of companies like Kaaj focuses on faster underwriting, cheaper loan processing. But many companies are doing the same thing, and it undersells what is actually being built. Casca just raised a \$29M Series A pitching 10x faster loan origination. Taktile, a New York-headquartered platform with \$79M raised, promises lenders can process 5x more loans without adding headcount. Ocrolus has been automating document processing since 2014. Every company in this stack is leading with speed. Faster underwriting is a product improvement, not a durable competitive position.

The more interesting question is who owns the relationship when the loan gets made. No LendingTree for SMB has ever worked. Every attempt to aggregate borrowers through a marketplace model has stalled because the segment is too relationship-dependent and too fragmented. The broker workflow layer is the only aggregation strategy that works in this market, and it is one that incumbents like Ocrolus cannot replicate. For Primary Labs, that is the bet worth making

The Problem: Why Sub-\$1M SMB Lending Has Always Been Broken

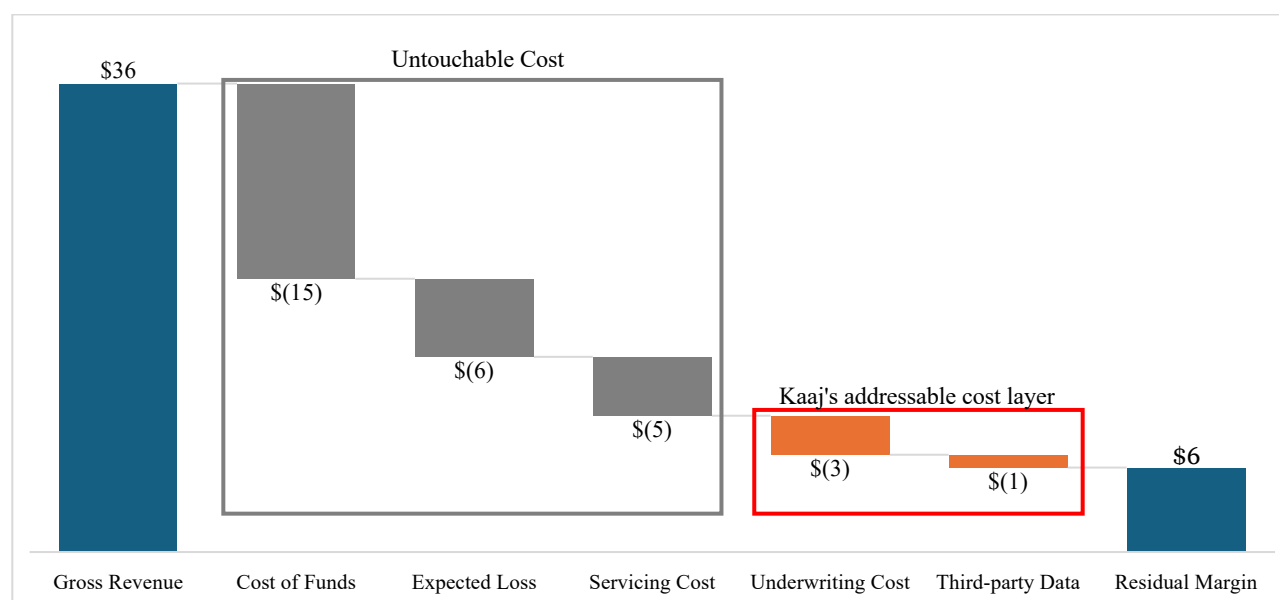
Small business lending has been described as broken for so long that the observation has lost its edge. But the mechanism of the failure is worth being precise about, because it determines whether any software solution can fix it.

The standard explanation is that underwriting a \$300K loan costs nearly as much as underwriting a \$3M loan, making the economics structurally unattractive for lenders. This is true, but it is the second-order problem. The first-order problem is origination.

To understand why, consider the cost structure of a typical sub-\$1M SMB loan. On a \$300K loan at a 12% rate over three years, a lender generates roughly \$36K in gross revenue. Against that, cost of funds consumes approximately \$15K, expected credit loss another \$6K, and servicing costs \$4K, none of which technology can meaningfully compress. What remains is a \$2-4K window of underwriting labor and third-party data costs where automation can operate. Kaaj's platform addresses that window. But shaving \$2-4K off a \$36K revenue loan does not transform the unit economics of SMB lending. It makes a

structurally thin business slightly less thin. The more fundamental problem is that most independent lenders never get to process enough volume for those savings to compound.

Illustrative Unit Economics (\$K)



Unlike consumer lending or large commercial credit, small business lending has no natural aggregation point on the demand side. Small business owners find lenders through convenience store flyers, accountant referrals, and word of mouth. This reflects how trust works at the small business level. No marketplace, comparison site, or demand aggregator has ever achieved meaningful scale in this segment. The capital access gap is not a discovery problem. A better UI won't fix it.

The numbers tell a clear story. Only 41% of SMB loan applicants get the full financing they need and 24% walk away with nothing. Large banks are pulling back, with application rates falling five percentage points in a single year. The fintech companies that were supposed to fill the gap haven't. The problem isn't that borrowers are uncreditworthy. It's that they can't find the right lender and lenders can't see enough of the right deals. There is a mismatch. It's an origination problem.

The routing mechanism that already works in this market is the broker. Non-bank lenders now account for 42% of small business financing in the US, and the broker channel is their primary source of deal flow. The bottleneck is that a broker can only work so many deals at once. Every hour spent manually pulling documents, verifying business identity, and assembling a credit package is an hour not spent finding the next deal.

Market Sizing

The right way to size this opportunity depends on which layer you are building toward.

The software opportunity is real but modest. The loan origination software market was valued at \$6.58B globally in 2025 and is projected to reach \$10.3B by 2029 at 11.9% CAGR. North America accounts for approximately 44% of that, or roughly \$2.9B. But that entire market is built for large banks, credit unions, and mortgage lenders. The approximately 18,000 broker businesses in the US, growing at 4.6% annually, are essentially unserved by modern software. At a conservative \$500 per seat per month and 10% penetration, broker-side software revenue alone approaches \$11M ARR.

The more interesting number is the lending volume itself. Total US lending to small businesses through loans of \$1 million or less has been estimated at approximately \$354.5B, with non-bank lenders now accounting for 42% of the market, putting the non-bank sub-\$1M lending market at approximately \$150B

annually and growing. This is a directional estimate: the 42% non-bank share applies to small business lending broadly, and the broker-originated portion of that non-bank volume represents the specific flow this category is positioned to capture. No platform currently captures a meaningful share of it. The workflow tool is the entry point. The lending volume is the opportunity.

Why Now

Two conditions make this moment different from prior attempts to change SMB lending.

First, agentic AI now makes it possible to collapse the full underwriting workflow into a single automated sequence, document ingestion, KYB/KYC verification, cash flow analysis, risk assessment, and decision-ready output. Prior automation tools addressed discrete steps. OcroLus applies AI to extract and analyze data from financial documents. MidDesk applies AI to verify business identity. Both are capable products within their defined scope. But they are point solutions. Each addresses one layer of the underwriting stack and returns structured output for the next system to consume. The integrations between them, and between each of them and the lender's loan origination system, still require human coordination. What Kaaj claims is that agentic AI can now orchestrate the entire chain end to end, eliminating the handoffs between layers that constitute most of the delay.

Second, the economics of lending to SMBs have become simultaneously more demanding and more fragile. Post-COVID EIDL debt is now in active repayment across hundreds of thousands of small businesses, pushing delinquency rates higher and making credit assessment more complex. Following a sharp rise from near zero in 2020, the cost of funds for independent lenders peaked sharply by early 2024. While the Fed's three rate cuts in late 2025 provided some relief, spreads on sub-\$1M loans remain structurally compressed relative to the pre-2022 environment lenders had built their operations around. Lenders who could afford slow, manual underwriting processes when money was cheap can no longer do so.

The Broker Channel

In a market with no natural aggregation point on the demand side, the broker is the de facto aggregator. A single active broker sits between dozens of borrowers and dozens of lenders simultaneously, routing deals to the most appropriate financing source based on borrower profile, loan size, and lender appetite. They know which lenders will look at which deals and manage the relationship on both sides. The company that embeds itself in the broker's daily workflow inherits the network behind them.

Kaaj's founding customer relationships came through deBanked CONNECT MIAMI, an industry conference for the MCA and SMB lending broker community, not through enterprise sales or inbound marketing. Starting at a broker conference rather than an enterprise sales cycle is a deliberate bet on community-driven distribution.

The Data Moat

Salesforce became defensible by becoming the system sales teams lived in every day. The data that accumulated inside it created high switching costs no competitor could overcome. Toast followed the same pattern, owning the daily operating system of restaurant operators and building Toast Capital on top of the transaction data it accumulated. The workflow business was the entry point to achieving the data business endgame.

When credit officers decide inside the platform, those decisions stay. Over thousands of loans across different lender types, that record of who got funded and why becomes something no competitor can buy or reconstruct from scratch.

FICO was built on decades of consumer credit decisions. The commercial equivalent for sub-\$1M lending has never existed because no platform has ever sat at the right layer of the market to capture it. Kaaj is the first company positioned to build it. Whether it is actually doing so is the primary agenda for the product demo.

Competitive Landscape

The competitive landscape is crowded at the document processing layer and largely empty at the workflow and relationship layers. Ocrolus chose enterprise; Middesk chose compliance; Zest AI chose consumer credit at scale. Each is a capable business within its defined scope. None owns the independent lender and broker workflow.

A further signal: established SMB lenders including Credibly are building proprietary AI underwriting in-house, as observed at the Structured Finance conference in Las Vegas. In-house builds solve the lender's own workflow problem. They do nothing for the independent broker routing deals across twenty lenders simultaneously, each with different credit policies and appetites. The in-house trend confirms the category.

Established Players

These companies are well-funded and address discrete parts of the underwriting stack. All operate either above the broker workflow layer or serve a different customer entirely. None has built for the independent lender and broker segment.

Company	Stack layer	Primary customer	Client size	Go-to-market	Positioning
Ocrolus	AI document processing, cash flow analysis, fraud detection	Enterprise fintechs, large banks, mortgage lenders, platforms	Large (500+ customers incl. PayPal, Brex, SoFi, Plaid, Enova)	API-first; developer-led; enterprise direct sales	Stops at structured data output, no decision layer, no broker relationship. Expanded from small business into mortgage and consumer lending in 2024, with 100+ mortgage customers. Now partnered with Taktile (June 2024), creating an integrated document-to-decision stack sold to enterprise. Cannot replicate broker-first motion without rebuilding from scratch. ~\$137M raised; ~\$500M valuation (2021).
Middesk	Business identity verification and compliance	Fintechs, banks, lenders, marketplaces	Mid-market to enterprise	API-first; compliance and onboarding-led	Point solution for KYB only. Does not touch underwriting workflow, credit analysis, or the broker channel. \$77M raised (Series B, June 2022); led by Insight Partners and Canapi Ventures; Sequoia and Accel also participated.
Zest AI	AI credit scoring, automated underwriting, fraud detection	Banks, credit unions, and now community banks and small business lenders	Large regulated institutions	Enterprise; long sales cycle; credit model replacement	Built on 15 years of consumer credit decision data, 650+ proprietary models, 50+ patents. Total funding \$553.9M (\$200M from Insight Partners Dec 2024; additional customer-led round Nov 2025 led by Citi Ventures and four credit unions). No longer consumer-only. Now serves community banks and small business proprietary lenders
Casca	Full-stack AI-native loan origination system (LOS) for SBA and SMB loans	Regulated banks and SBA-approved lenders	Mid to large banks	Direct to bank; deep integration-led; Stanford/YC-backed founding team	Bank-facing by design. Claims to fund commercial loans 10x faster than other fintechs and 30x faster than industry averages. Similar workflow automation pitch but structurally different customer, channel, and compliance posture. \$33M total (\$29M Series A, Aug 2025; Canapi Ventures lead)

Emerging Players

These companies are earlier stage and make similar workflow automation claims. The differentiating question across all three is whether any has built for the independent lender and broker segment with a full-stack workflow and lender-matching capability. That question remains open.

Company	Stack layer	Primary customer	Client size	Go-to-market	Positioning
Taktile	AI decision automation platform; customizable SMB underwriting agents	Large fintechs, banks, insurers	Mid to large (Mercury, Kueski, Zilch, Allianz, Rakuten Bank across 24 markets)	NYC HQ; offices Berlin and London; global direct enterprise sales	Most serious emerging player. Makes identical throughput pitch (5x more loans, same team). Partnered with Oculous since June 2024, creating an integrated stack sold exclusively to enterprise fintechs and large banks. No broker-matching, no lender-routing, no community motion. US independent lender expansion is the risk to watch. \$79M total (\$54M Series B, Balderton Capital, Feb 2025)
MoneyThumb	PDF bank statement conversion, analysis, and fraud detection	Independent lenders, MCA funders, brokers, accountants	Small to mid (long-tail independent lender and broker segment)	Direct; attends broker conferences	Closest customer overlap with Kaaj, serves independent lenders and brokers directly. Narrow scope. Document conversion and fraud detection only, no workflow orchestration or lender-matching.
Kaaj	Full-stack agentic underwriting workflow + broker lender matching	Independent lenders, MCA funders, SMB brokers	Small to mid (long-tail independent lender and broker segment)	Broker-first; conference-led community motion	Only player building a full-stack integrated workflow for the independent lender and broker segment. Product features include AI-generated underwriting analysis dashboard and broker-lender matching (verified from product materials). \$3.8M seed (Nov 2025); \$5B+ in processed applications.

Risks and Mitigation

Unit Economics Risk

Underwriting labor is a small fraction of total loan costs. Cost of capital, expected credit loss, and servicing are untouched. Margin improvement per loan is modest and unlikely to move the needle. The stronger commercial case is capacity. Lenders process more deals they previously couldn't handle. That argument requires demonstrating suppressed deal flow at target customers.

Data Moat Risk

At \$5B in processed applications and four people, the credit dataset is promising but not yet defensible. A better-resourced competitor could replicate the strategy with more capital and faster broker acquisition. The first mover needs to accumulate broker relationships and credit decisions faster than any enterprise player can pivot to this segment.

Broker Churn Risk

Brokers switch to the platform closes deals fastest. However, once embedded in a lender's core operating system, the platform becomes structurally difficult to displace. Lender-matching adds a second layer. A broker who has built routing history on a platform loses that institutional memory if they leave. The mitigation is retention data. Any platform in this space needs to demonstrate long-term active usage.

Regulatory Risk

Increased AI reliance in credit decisions will draw CFPB scrutiny, which requires lenders to collect and report data on small business loan applications including demographic and pricing information. Platforms that generate AI-assisted credit recommendations without preserving the human decision layer face the greatest exposure. The mitigation is a platform that captures the credit officer's final decision alongside the AI output.

Conclusion: What Primary Labs Should Do

The company that owns the broker's daily underwriting workflow in SMB lending will own the category. The question is who owns it, and whether that company already exists or still needs to be built.

Kaaj has processed \$5B in loan applications with four people and real broker traction. The category is real. The timing is right. Three questions determine whether Kaaj is the company worth backing or the proof of concept that justifies building a competitor: whether the platform captures credit officer decisions, whether broker retention holds beyond acquisition, and how deep the lender network runs behind each broker relationship. Those answers come from the product demo.

Primary Labs has two paths. Back Kaaj at the Series A once those questions are answered. Or build the company that answers them by design from day one. The broker-first aggregation thesis is not yet consensus, most observers still frame this as a document processing problem. That misread is the opportunity.

Top 5 Questions I Would Ask

1. Is Kaaj building a workflow tool or a data business?
 - a. What is the roadmap for the credit intelligence layer, and is it a priority or a byproduct?
2. What does broker retention actually look like?
 - a. What is broker activity at 30, 90, and 180 days post-onboarding?
 - b. What share of brokers who sign up are still active at six months?
 - c. What is the primary reason brokers churn?
3. How deep is each broker relationship - and what does the lender network behind it look like?
 - a. How many lenders does the average active broker route to through Kaaj's platform?
 - b. What percentage of deals submitted through Kaaj are matched to a lender successfully?
 - c. Is lender-matching a feature brokers actively use or primarily a roadmap item?
4. What is Kaaj's unit economics per loan processed, and how do they change with scale?
 - a. What is your current revenue model - per loan, per seat, or subscription?
 - b. What does gross margin look like today, and what does it look like at 10x volume?
 - c. Who are your top three customers by volume, and what does their usage trajectory look like?
5. How are you thinking about the competitive landscape as enterprise players move toward your segment?
 - a. What is your defensibility argument in 24 months if a better-resourced player decides to replicate your broker-first motion?